Elite Material

2383.TW | TWSE | 2026-10-07

Q4 2027 model ceiling: TWD 6,805.08

Analytical Base 46/60 = 77 | High Conviction / Materials beneficiary

20x forward-four-quarter operating profit divided by starting-quarter diluted shares. Equity-proxy convention, not EPS or enterprise value; no net-cash add-on.

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

Snapshot: TWD 5,995.00 on 2026-10-06. Model diluted shares at Q3 2026: 358.497m. Indicative diluted capitalization: TWD 2,149,189.5m. Quote and share dates/bases may differ; legal shares are reconciled in the analysis.

All operating values are in TWD m and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Decision in the model

Active horizon	Earnings window	F4Q OP	Multiple	Diluted shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	122,223.9	20x	359.214	6,805.08

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. Probabilities have already been applied to the operating forecast; they are not applied again to the valuation.

Thesis

Elite Material (TWSE: 2383) sells copper-clad laminate and prepreg, the electrically insulating materials from which customers manufacture printed circuit boards. Its opportunity is to retain a larger profit pool as AI servers and switches require materials with lower electrical loss. A more expensive laminate earns its place only when the complete board meets signal-integrity and reliability requirements at an acceptable manufacturing yield.

This is a materials business. EMC does not receive the full selling price of a finished PCB, an ABF substrate, a switch or an accelerator. More layers can consume more laminate and prepreg; faster channels can require a more valuable recipe. Those effects belong inside the same customer invoice. They are not separate markets to add together.

Why the product becomes harder

Higher-frequency signals lose energy through the dielectric and copper conductor. Resin chemistry, reinforcement, copper roughness, moisture and the customer's stack-up affect the delivered channel. The material must also withstand lamination and reflow, dimensional movement and thermal expansion. A laboratory loss figure alone cannot establish a production advantage.

EMC supplies demanding high-speed recipes while preserving compatibility with customers' manufacturing processes. Qualification creates friction: changing laminate can require electrical, processing and reliability revalidation. That friction supports an incumbent after qualification, but does not guarantee that it wins a new architecture or resin system.

The issuer describes EMC as a leading laminate supplier and assigns it approximately 16% of the overall laminate market and 38.6% of a narrower high-speed, environmentally compliant category. These are issuer-presented estimates with specific definitions. They do not establish the same share of all AI boards, substrate materials or future M9/M10 applications.

Competition is a qualification contest

Taiwan Union Technology, Doosan, Shengyi, Panasonic and other suppliers compete across overlapping material families. Their positions differ by customer, application and recipe. EMC's scale and infrastructure exposure are advantages, but ranking suppliers by one dissipation-factor figure would be misleading.

BofA's October 5 research treats the choice between hydrocarbon and PTFE-based approaches as unsettled for the highest grades. A customer's choice can change the supplier, reinforcement and PCB process. EMC's current position therefore earns a positive probability, not automatic ownership of the next generation.

Low-dielectric glass cloth and specialized copper foil can constrain supply. Their scarcity may raise laminate prices while raising EMC's costs. The relevant measure is retained gross profit after the bill of materials, scrap, qualification and customer concessions. A price rise that reimburses copper or cloth is different from increased profit per saleable unit.

The starting point has already accelerated

The latest reviewed quarter, June 2026, produced revenue of NT$47.275 billion, gross profit of NT$16.003 billion and operating profit of NT$12.734 billion. Gross margin was 33.85%. Selling expense was NT$0.929 billion, administration NT$1.427 billion and research and development NT$0.907 billion. A small credit expense brought total operating expense to NT$3.269 billion.

For comparison, 2025 generated NT$94.261 billion of revenue and NT$19.108 billion of operating profit. First-half 2026 revenue was already NT$80.342 billion, with NT$19.862 billion of operating profit. The issuer reported June-quarter infrastructure revenue growth of 46% sequentially and 141% annually. This change in the earnings base is included before prospective evidence is weighted.

The September monthly-revenue chart implies third-quarter sales of approximately NT$60.885 billion: July NT$19.207 billion, August NT$20.146 billion and September NT$21.532 billion. The chart uses rounded amounts, so this sum is approximate. Third-quarter profitability remains estimated until results; the scheduled board meeting is October 28.

Capacity must become qualified output

The July presentation's table shows 6.15 million nominal sheets per month at end-2026, 9.30 million in 2027 and 11.10 million in 2028. A map retains a 750,000-sheet 2027 Guanyin label while the table uses 600,000. The model uses the lower table total and discloses this 150,000-sheet discrepancy.

These are nominal laminate figures, not verified output of the most demanding grade. Area, thickness, pressing time, qualification and yield affect saleable material from the same asset. Mechanical completion alone does not establish customer acceptance or the modeled margin.

The model phases average capacity rather than assigning full-year sales to year-end equipment. Qualified utilization of approximately 86-90% is a reasonableness check. Implied revenue per qualified sheet is a normalization measure, not a disclosed cash ASP. Comparisons with other suppliers need normalized sheet sizes, thickness and mix.

The probability-weighted earnings bridge

The operating model separates high-speed material from the remaining portfolio, computes each group's gross profit, then deducts research, selling and administration. EMC does not disclose grade margins, so the split is an analytical proxy. At the June-quarter anchor, a 70% high-speed revenue share at 40% gross margin and a 30% other share at approximately 19.5% reconcile to reported company gross margin. This makes the arithmetic visible without presenting undisclosed segment margins as facts.

Reference revenue reaches NT$317 billion in 2027. BofA's NT$341.553 billion forecast is a conditional faster-ramp outcome, not the active model. Through 2028 the joint positive branch receives 35% probability, the reference 50%, and recipe or cost disappointment 15%. Only the difference from reference is weighted. The positive branch includes qualification costs. The adverse branch includes weaker high-grade share, lower retained margin and extra operating expense.

The resulting active 2027 revenue is approximately NT$324.167 billion and operating profit NT$96.952 billion. For 2028 they are NT$430.017 billion and NT$130.405 billion. These are model outcomes, not guidance. AI servers, switches, extra layers, substrate-related laminates and richer recipes are overlapping reasons for the same revenue path; no broad TAM uplift is added afterward.

The 2029-30 quarters are lower-confidence assumptions. They allow further growth while normalizing pricing and margins as competing capacity responds. The positive probability declines beyond 2028. These quarters maintain consistent forward-quarter valuation and need replacement as qualified capacity and customer designs become visible.

Earnings do not remove the financing question

June cash of NT$22.568 billion compared with NT$27.865 billion of interest-bearing debt leaves NT$5.298 billion net debt, plus approximately NT$0.627 billion of leases. No convertible bond was outstanding. Issued common shares were approximately 358.321 million; first-half diluted weighted-average shares were 358.497 million. The model starts with the latter and allows 0.2% annual employee dilution, an explicit assumption.

Cash conversion is a counterweight. First-half operating cash flow was NT$5.045 billion against NT$10.679 billion of cash PPE purchases. Receivables absorbed NT$27.421 billion, partly financed by NT$14.729 billion of higher supplier payables. Approximately 108 receivable days can become a funding constraint if collections slow or suppliers stop extending comparable terms.

The valuation uses 20 times forward-four-quarter operating profit divided by modeled diluted shares. This is an operating-profit market-cap convention, not enterprise value; subtracting debt again would change the convention. At Q4 2027 it produces approximately NT$6,805 per share, conditional on the earnings and share assumptions rather than an imported analyst target.

Score, catalysts and failure conditions

The analytical score is 46 out of 60, or rounded Base 77: Core 17, Cycle 8, TAM 8, Catalysts 4, Macro 8, Alpha 4, less 3 for risk. Qualified recipes, infrastructure participation and a tangible expansion support the score. Working-capital intensity, the next material-system choice, cost pass-through and the industry's supply response limit it.

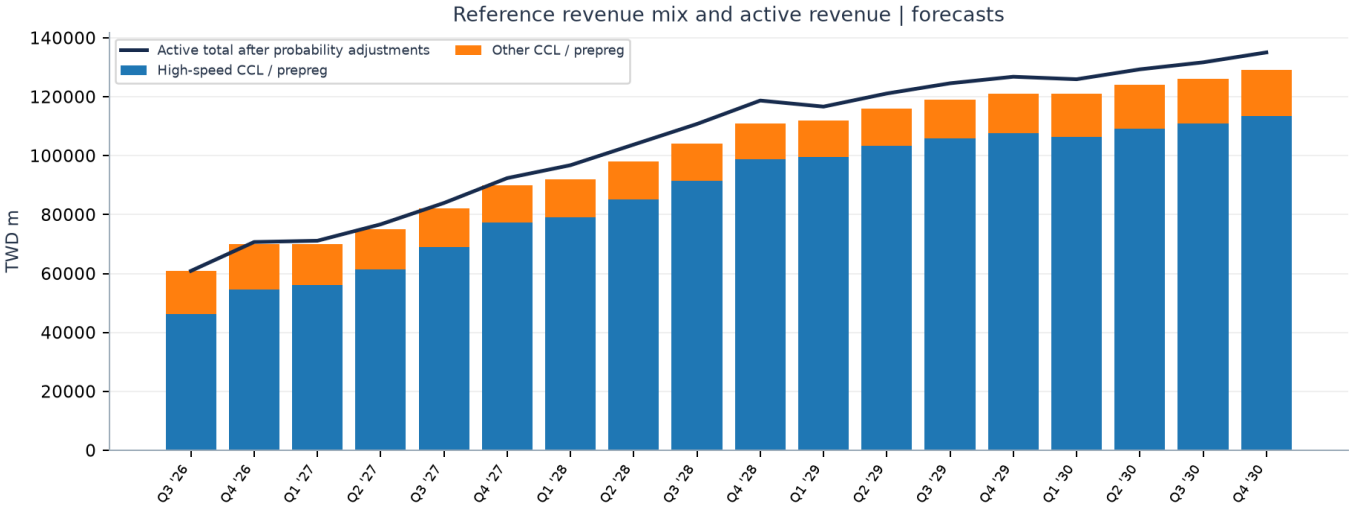
The next tests are October results, monthly sales, site qualification and material choices for future accelerator and switch platforms. A convincing positive sequence combines higher saleable output, stable or better retained gross profit and improving cash conversion. A negative sequence would show revenue inflated by input costs while margin, collections or qualification yields disappoint. Those observations should alter the relevant branch; a competitor headline or TAM estimate should not independently rerate every input.

Sources: EMC investor materials, the official July 2026 presentation, reviewed June 2026 consolidated statements, audited 2025 statements and September monthly revenue. Prospective grade-mix, recipe and industry-capacity claims are attributed to the supplied BofA CCL/PCB report dated October 5, 2026. Its targets and valuation multiples are not used.

Score arithmetic

Category	Points	Evidence / treatment
Core thesis	17	See the scoring evidence and distinct risk classes in the analysis.
Cycle	8	See the scoring evidence and distinct risk classes in the analysis.
TAM	8	See the scoring evidence and distinct risk classes in the analysis.
Catalysts	4	See the scoring evidence and distinct risk classes in the analysis.
Macro	8	See the scoring evidence and distinct risk classes in the analysis.
Alpha	4	See the scoring evidence and distinct risk classes in the analysis.
Risk classes	-3	See the scoring evidence and distinct risk classes in the analysis.
Total	46/60	Rounded Base 77. Both artifact and new workbook row use this score; this is not a manual override.

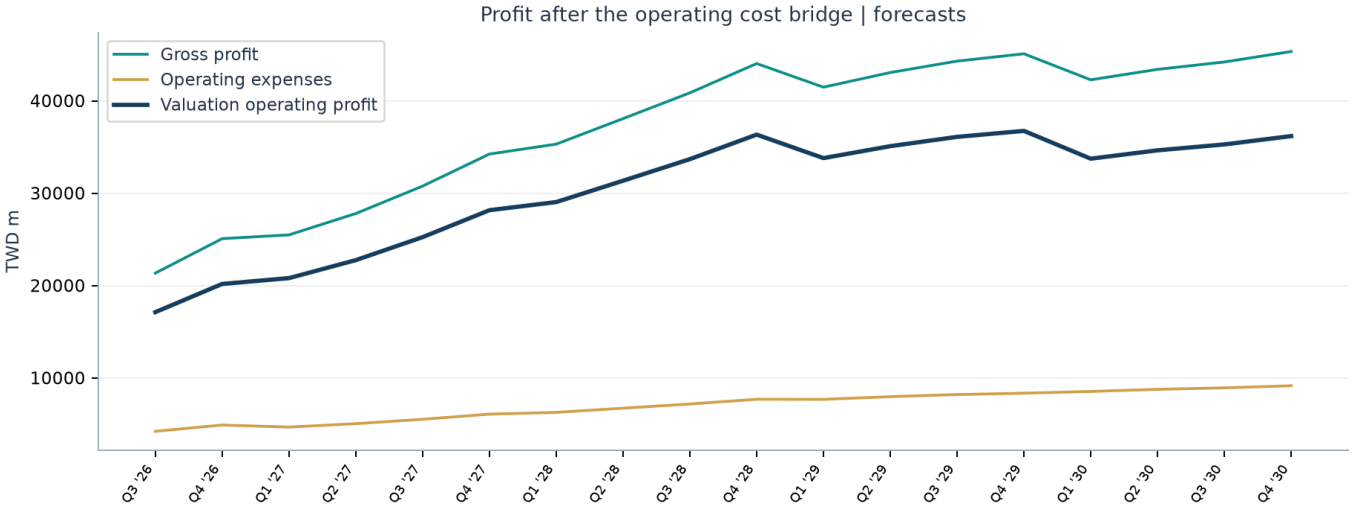
Revenue and business mix



Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	60,885.0	0.0	60,885.0
Q4 2026	70,000.0	700.0	70,700.0
Q1 2027	70,000.0	1,130.9	71,130.9
Q2 2027	75,000.0	1,701.9	76,701.9
Q3 2027	82,000.0	1,946.6	83,946.6
Q4 2027	90,000.0	2,387.6	92,387.6
Q1 2028	92,000.0	4,772.0	96,772.0
Q2 2028	98,000.0	5,768.0	103,768.0
Q3 2028	104,000.0	6,764.0	110,764.0
Q4 2028	111,000.0	7,712.5	118,712.5
Q1 2029	112,000.0	4,656.0	116,656.0
Q2 2029	116,000.0	5,108.0	121,108.0
Q3 2029	119,000.0	5,572.0	124,572.0
Q4 2029	121,000.0	5,798.0	126,798.0
Q1 2030	121,000.0	4,948.0	125,948.0
Q2 2030	124,000.0	5,312.0	129,312.0
Q3 2030	126,000.0	5,688.0	131,688.0
Q4 2030	129,000.0	6,052.0	135,052.0

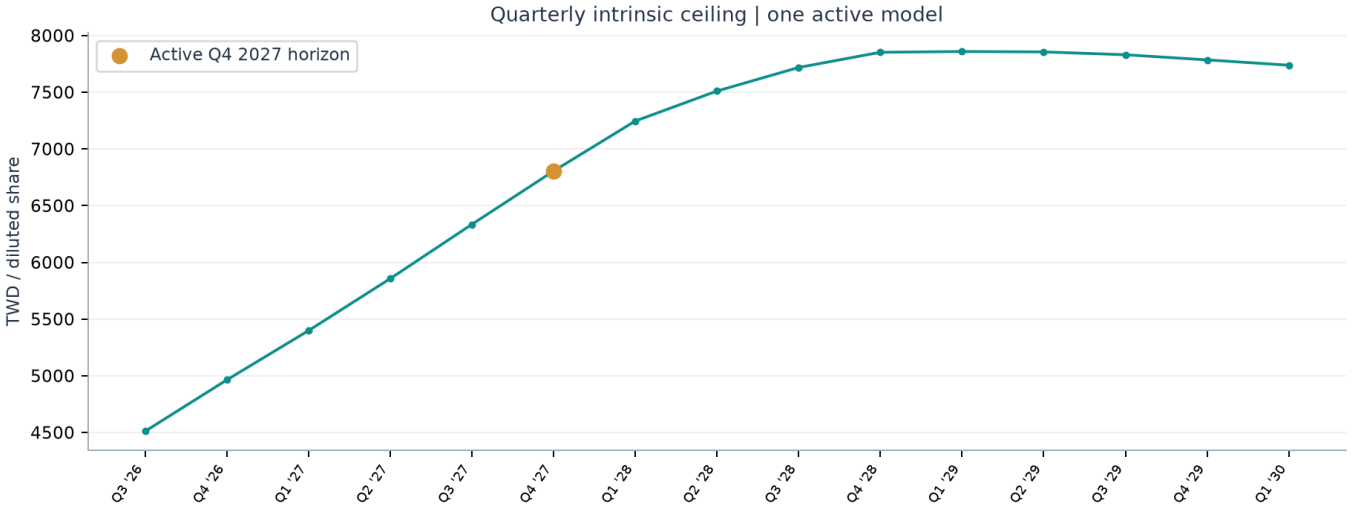
Gross profit, operating expenses and earnings



Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

Quarter	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2026	60,885.0	21,345.3	4,222.4	17,122.9	28.1%
Q4 2026	70,700.0	25,077.8	4,903.5	20,174.3	28.5%
Q1 2027	71,130.9	25,484.5	4,680.0	20,804.5	29.2%
Q2 2027	76,701.9	27,796.6	5,046.7	22,750.0	29.7%
Q3 2027	83,946.6	30,764.1	5,523.3	25,240.7	30.1%
Q4 2027	92,387.6	34,235.4	6,078.8	28,156.6	30.5%
Q1 2028	96,772.0	35,307.6	6,270.1	29,037.5	30.0%
Q2 2028	103,768.0	38,070.1	6,723.6	31,346.6	30.2%
Q3 2028	110,764.0	40,860.2	7,177.0	33,683.2	30.4%
Q4 2028	118,712.5	44,030.2	7,692.1	36,338.0	30.6%
Q1 2029	116,656.0	41,475.1	7,679.8	33,795.3	29.0%
Q2 2029	121,108.0	43,061.0	7,972.9	35,088.0	29.0%
Q3 2029	124,572.0	44,296.1	8,201.0	36,095.1	29.0%
Q4 2029	126,798.0	45,089.1	8,347.6	36,741.4	29.0%
Q1 2030	125,948.0	42,270.4	8,537.4	33,733.0	26.8%
Q2 2030	129,312.0	43,401.9	8,765.4	34,636.5	26.8%
Q3 2030	131,688.0	44,202.5	8,926.6	35,275.9	26.8%
Q4 2030	135,052.0	45,334.0	9,154.6	36,179.4	26.8%

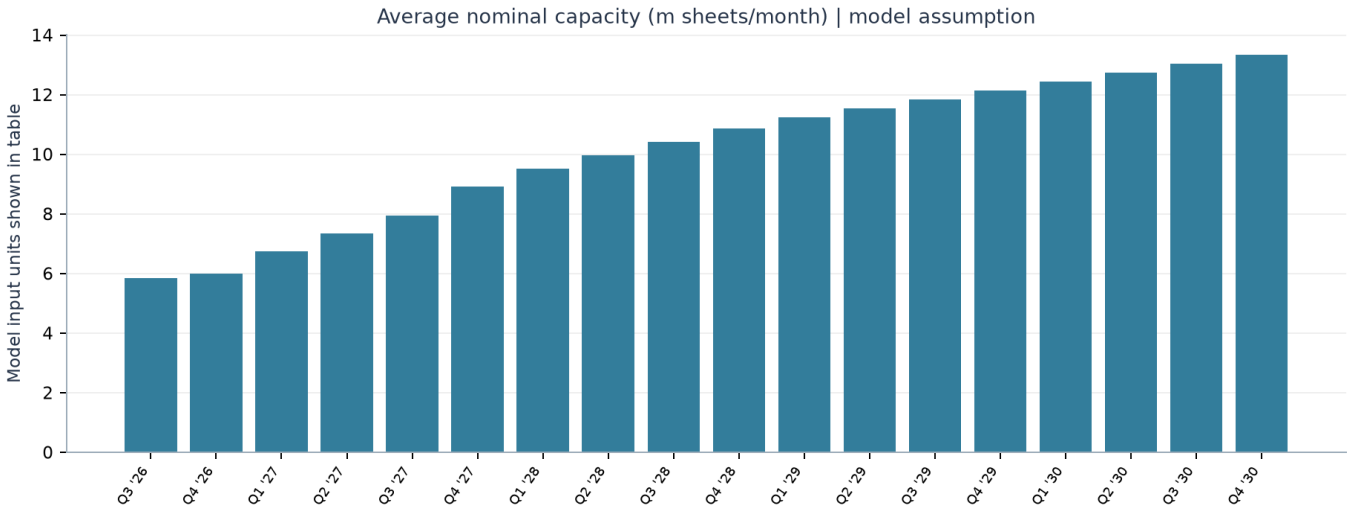
The complete ceiling path



Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

Quarter	Exact earnings window	F4Q OP	Multiple	Shares	Ceiling
Q3 2026	Q3 2026 + Q4 2026 + Q1 2027 + Q2 2027	80,851.6	20x	358.497	4,510.59
Q4 2026	Q4 2026 + Q1 2027 + Q2 2027 + Q3 2027	88,969.4	20x	358.497	4,963.47
Q1 2027	Q1 2027 + Q2 2027 + Q3 2027 + Q4 2027	96,951.7	20x	359.214	5,397.99
Q2 2027	Q2 2027 + Q3 2027 + Q4 2027 + Q1 2028	105,184.8	20x	359.214	5,856.39
Q3 2027	Q3 2027 + Q4 2027 + Q1 2028 + Q2 2028	113,781.4	20x	359.214	6,335.02
Q4 2027	Q4 2027 + Q1 2028 + Q2 2028 + Q3 2028	122,223.9	20x	359.214	6,805.08
Q1 2028	Q1 2028 + Q2 2028 + Q3 2028 + Q4 2028	130,405.4	20x	359.932	7,246.10
Q2 2028	Q2 2028 + Q3 2028 + Q4 2028 + Q1 2029	135,163.2	20x	359.932	7,510.48
Q3 2028	Q3 2028 + Q4 2028 + Q1 2029 + Q2 2029	138,904.6	20x	359.932	7,718.37
Q4 2028	Q4 2028 + Q1 2029 + Q2 2029 + Q3 2029	141,316.5	20x	359.932	7,852.39
Q1 2029	Q1 2029 + Q2 2029 + Q3 2029 + Q4 2029	141,719.9	20x	360.652	7,859.09
Q2 2029	Q2 2029 + Q3 2029 + Q4 2029 + Q1 2030	141,657.6	20x	360.652	7,855.63
Q3 2029	Q3 2029 + Q4 2029 + Q1 2030 + Q2 2030	141,206.0	20x	360.652	7,830.59
Q4 2029	Q4 2029 + Q1 2030 + Q2 2030 + Q3 2030	140,386.8	20x	360.652	7,785.16
Q1 2030	Q1 2030 + Q2 2030 + Q3 2030 + Q4 2030	139,824.8	20x	361.374	7,738.52

The operating constraint behind the forecast



The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

Quarter	Average nominal capacity (m sheets/month)	Status
Q3 2026	5.850	Monthly-reported revenue / forecast profits
Q4 2026	6.000	Model assumption
Q1 2027	6.750	Model assumption
Q2 2027	7.350	Model assumption
Q3 2027	7.950	Model assumption
Q4 2027	8.925	Model assumption
Q1 2028	9.525	Model assumption
Q2 2028	9.975	Model assumption
Q3 2028	10.425	Model assumption
Q4 2028	10.875	Model assumption
Q1 2029	11.250	Model assumption
Q2 2029	11.550	Model assumption
Q3 2029	11.850	Model assumption
Q4 2029	12.150	Model assumption
Q1 2030	12.450	Model assumption
Q2 2030	12.750	Model assumption
Q3 2030	13.050	Model assumption
Q4 2030	13.350	Model assumption

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	High-speed CCL / prepreg	46,272.6	39.5%	18,277.7
Q3 2026	Other CCL / prepreg	14,612.4	19.5%	2,849.4
Q4 2026	High-speed CCL / prepreg	54,600.0	39.5%	21,567.0
Q4 2026	Other CCL / prepreg	15,400.0	19.5%	3,003.0
Q1 2027	High-speed CCL / prepreg	56,000.0	39.7%	22,232.0
Q1 2027	Other CCL / prepreg	14,000.0	19.5%	2,730.0
Q2 2027	High-speed CCL / prepreg	61,500.0	39.7%	24,415.5
Q2 2027	Other CCL / prepreg	13,500.0	19.5%	2,632.5
Q3 2027	High-speed CCL / prepreg	68,880.0	39.7%	27,345.4
Q3 2027	Other CCL / prepreg	13,120.0	19.5%	2,558.4
Q4 2027	High-speed CCL / prepreg	77,400.0	39.7%	30,727.8
Q4 2027	Other CCL / prepreg	12,600.0	19.5%	2,457.0
Q1 2028	High-speed CCL / prepreg	79,120.0	39.0%	30,856.8
Q1 2028	Other CCL / prepreg	12,880.0	19.5%	2,511.6
Q2 2028	High-speed CCL / prepreg	85,260.0	39.0%	33,251.4
Q2 2028	Other CCL / prepreg	12,740.0	19.5%	2,484.3
Q3 2028	High-speed CCL / prepreg	91,520.0	39.0%	35,692.8
Q3 2028	Other CCL / prepreg	12,480.0	19.5%	2,433.6
Q4 2028	High-speed CCL / prepreg	98,790.0	39.0%	38,528.1
Q4 2028	Other CCL / prepreg	12,210.0	19.5%	2,381.0
Q1 2029	High-speed CCL / prepreg	99,680.0	37.5%	37,380.0
Q1 2029	Other CCL / prepreg	12,320.0	19.5%	2,402.4
Q2 2029	High-speed CCL / prepreg	103,240.0	37.5%	38,715.0
Q2 2029	Other CCL / prepreg	12,760.0	19.5%	2,488.2
Q3 2029	High-speed CCL / prepreg	105,910.0	37.5%	39,716.2
Q3 2029	Other CCL / prepreg	13,090.0	19.5%	2,552.6
Q4 2029	High-speed CCL / prepreg	107,690.0	37.5%	40,383.8
Q4 2029	Other CCL / prepreg	13,310.0	19.5%	2,595.5
Q1 2030	High-speed CCL / prepreg	106,480.0	35.5%	37,800.4
Q1 2030	Other CCL / prepreg	14,520.0	19.5%	2,831.4

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q2 2030	High-speed CCL / prepreg	109,120.0	35.5%	38,737.6
Q2 2030	Other CCL / prepreg	14,880.0	19.5%	2,901.6
Q3 2030	High-speed CCL / prepreg	110,880.0	35.5%	39,362.4
Q3 2030	Other CCL / prepreg	15,120.0	19.5%	2,948.4
Q4 2030	High-speed CCL / prepreg	113,520.0	35.5%	40,299.6
Q4 2030	Other CCL / prepreg	15,480.0	19.5%	3,018.6

Operating-cost derivation

Quarter	R&D	Selling	Administration / credit
Q3 2026	1,156.8	1,156.8	1,887.4
Q4 2026	1,330.0	1,330.0	2,170.0
Q1 2027	1,330.0	1,330.0	1,890.0
Q2 2027	1,425.0	1,425.0	2,025.0
Q3 2027	1,558.0	1,558.0	2,214.0
Q4 2027	1,710.0	1,710.0	2,430.0
Q1 2028	1,840.0	1,748.0	2,300.0
Q2 2028	1,960.0	1,862.0	2,450.0
Q3 2028	2,080.0	1,976.0	2,600.0
Q4 2028	2,220.0	2,109.0	2,775.0
Q1 2029	2,240.0	2,128.0	2,912.0
Q2 2029	2,320.0	2,204.0	3,016.0
Q3 2029	2,380.0	2,261.0	3,094.0
Q4 2029	2,420.0	2,299.0	3,146.0
Q1 2030	2,420.0	2,299.0	3,388.0
Q2 2030	2,480.0	2,356.0	3,472.0
Q3 2030	2,520.0	2,394.0	3,528.0
Q4 2030	2,580.0	2,451.0	3,612.0

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2026	Qualified mix / pricing	35%	0.0	623.5	60.9	196.9
Q3 2026	Adverse recipe / cost	0%	0.0	0.0	0.0	0.0
Q4 2026	Qualified mix / pricing	35%	2,000.0	1,450.8	210.0	434.3
Q4 2026	Adverse recipe / cost	0%	0.0	0.0	0.0	0.0
Q1 2027	Qualified mix / pricing	35%	4,131.0	2,258.9	342.6	670.7
Q1 2027	Adverse recipe / cost	15%	-2,100.0	-1,787.7	67.2	-278.2
Q2 2027	Qualified mix / pricing	35%	5,827.0	2,971.1	459.6	879.0
Q2 2027	Adverse recipe / cost	15%	-2,250.0	-1,942.0	72.0	-302.1
Q3 2027	Qualified mix / pricing	35%	6,616.0	3,380.4	518.7	1,001.6
Q3 2027	Adverse recipe / cost	15%	-2,460.0	-2,152.3	78.7	-334.6
Q4 2027	Qualified mix / pricing	35%	7,979.0	4,027.6	616.6	1,193.9
Q4 2027	Adverse recipe / cost	15%	-2,700.0	-2,394.1	86.4	-372.1
Q1 2028	Qualified mix / pricing	35%	16,000.0	6,984.7	1,132.0	2,048.5
Q1 2028	Adverse recipe / cost	15%	-5,520.0	-3,369.4	-93.8	-491.3
Q2 2028	Qualified mix / pricing	35%	19,000.0	8,217.7	1,333.0	2,409.6
Q2 2028	Adverse recipe / cost	15%	-5,880.0	-3,611.6	-100.0	-526.7
Q3 2028	Qualified mix / pricing	35%	22,000.0	9,463.8	1,534.0	2,775.4
Q3 2028	Adverse recipe / cost	15%	-6,240.0	-3,856.6	-106.1	-562.6
Q4 2028	Qualified mix / pricing	35%	24,890.0	10,692.5	1,728.9	3,137.3
Q4 2028	Adverse recipe / cost	15%	-6,660.0	-4,141.7	-113.2	-604.3
Q1 2029	Qualified mix / pricing	25%	24,000.0	10,004.5	1,696.0	2,077.1
Q1 2029	Adverse recipe / cost	20%	-6,720.0	-4,041.9	-121.0	-784.2
Q2 2029	Qualified mix / pricing	25%	26,000.0	10,780.2	1,832.0	2,237.0
Q2 2029	Adverse recipe / cost	20%	-6,960.0	-4,186.3	-125.3	-812.2
Q3 2029	Qualified mix / pricing	25%	28,000.0	11,545.0	1,967.0	2,394.5
Q3 2029	Adverse recipe / cost	20%	-7,140.0	-4,294.6	-128.5	-833.2
Q4 2029	Qualified mix / pricing	25%	29,000.0	11,932.8	2,035.0	2,474.5
Q4 2029	Adverse recipe / cost	20%	-7,260.0	-4,366.7	-130.7	-847.2
Q1 2030	Qualified mix / pricing	20%	32,000.0	12,336.8	2,297.0	2,008.0
Q1 2030	Adverse recipe / cost	20%	-7,260.0	-4,144.0	-145.2	-799.8

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q2 2030	Qualified mix / pricing	20%	34,000.0	13,060.4	2,436.0	2,124.9
Q2 2030	Adverse recipe / cost	20%	-7,440.0	-4,246.8	-148.8	-819.6
Q3 2030	Qualified mix / pricing	20%	36,000.0	13,773.6	2,574.0	2,239.9
Q3 2030	Adverse recipe / cost	20%	-7,560.0	-4,315.2	-151.2	-832.8
Q4 2030	Qualified mix / pricing	20%	38,000.0	14,497.2	2,713.0	2,356.8
Q4 2030	Adverse recipe / cost	20%	-7,740.0	-4,418.0	-154.8	-852.6

Claim decisions, overlap and triggers

EMC-CCL-MIX-20261005

source: BofA October 5 CCL report, July 30 issuer capacity presentation, and October 5 monthly revenue announcement.

hypothesis: A faster shift toward qualified high-speed materials and stronger premium retention than the reference. The bank's M7+ and substrate opportunities are included within existing CCL sales.

p: 0.35

reason: One credible bank provides the forward mix endpoint. Issuer actuals directly support the direction, but not the magnitude of 2027 growth. Correlated variants are not independent evidence.

Conditional 2027 revenue: 341553

reference 2027 revenue: 317000

bridge: 18 quarterly rows with product gross profit and explicit R&D, selling and administrative costs. The positive case raises high-speed mix by 2 percentage points and high-speed gross margin by 80 basis points, offset by 10 basis points of additional operating expense for qualification and ramp costs.

overlap: The latest Q3 monthly revenue pace and management's capacity plans are already in the reference. Only the difference between the conditional case and the reference is probability-weighted. There is no separate addition for pricing, layer count or substrates.

counter: Risks include share loss to PTFE hybrid recipes, delayed sites, glass-cloth and copper costs, customer concentration and weak cash conversion.

EMC-PTFE-COST-RISK

source: BofA October 5 discussion of recipe uncertainty and copper costs.

p: 0.15

outcome: Sales are 3% below reference in 2027 and 6% below reference from 2028 onward. High-speed mix is 3 percentage points lower, high-speed gross margin is 120 basis points lower, and operating expense is 30 basis points higher.

reason: There is a named competing recipe path, but no final customer award. An explicit negative weight is used instead of assuming a hydrocarbon monopoly.

dependence: The positive, reference and adverse outcomes are mutually exclusive, with weights of 35/50/15 through 2028. No independent copper-cost or mix-loss deduction is added.

EMC-LONGRANGE

p 2029: 0.25

p 2030: 0.2

reason: Source visibility is lower. The endpoints are extrapolations, not guidance, with a 20% adverse probability. Full operating inputs are provided, but confidence is low.

Remaining bounded uncertainties

- Exact revenue by grade and end market, and gross margin by grade, remain analytical proxies.

- Realized cash ASP and the proportion of orders eligible for repricing are undisclosed.

- The capacity map and table differ by 150k.

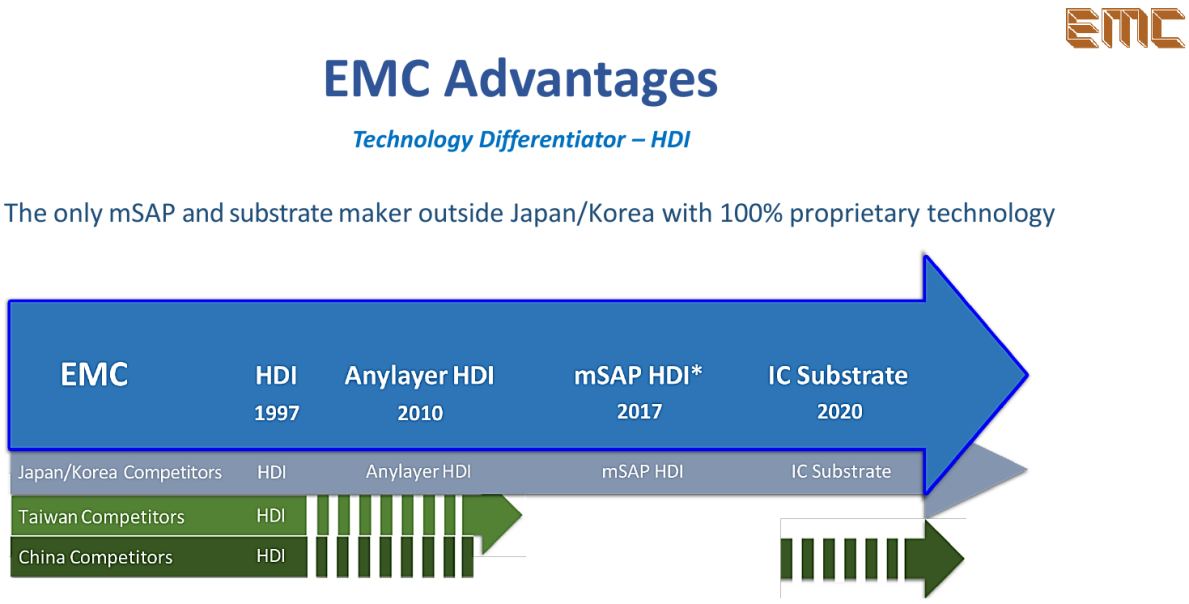
- Capacity for 2029/30 has not been announced.

- The latest stock-price observation returned is October 6, not October 7.

Selected original evidence

Source exhibit 1

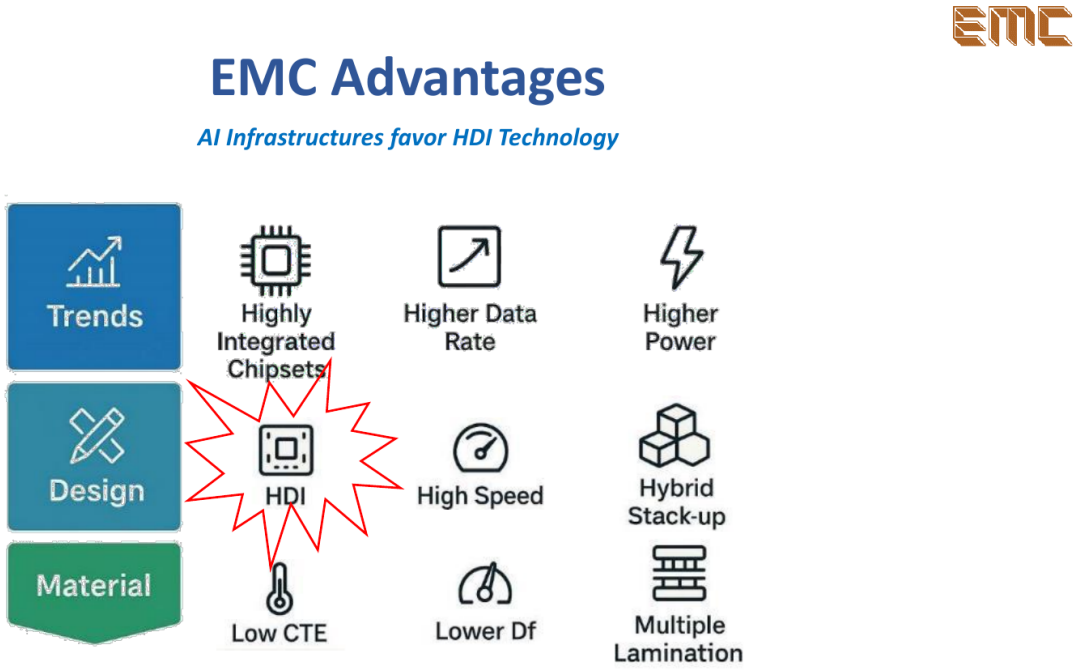
Issuer source retained in the evidence manifest | Official source exhibit. Original units and source footnotes are retained.



Official source exhibit. Original units and source footnotes are retained. Original units and footnotes apply.

Source exhibit 2

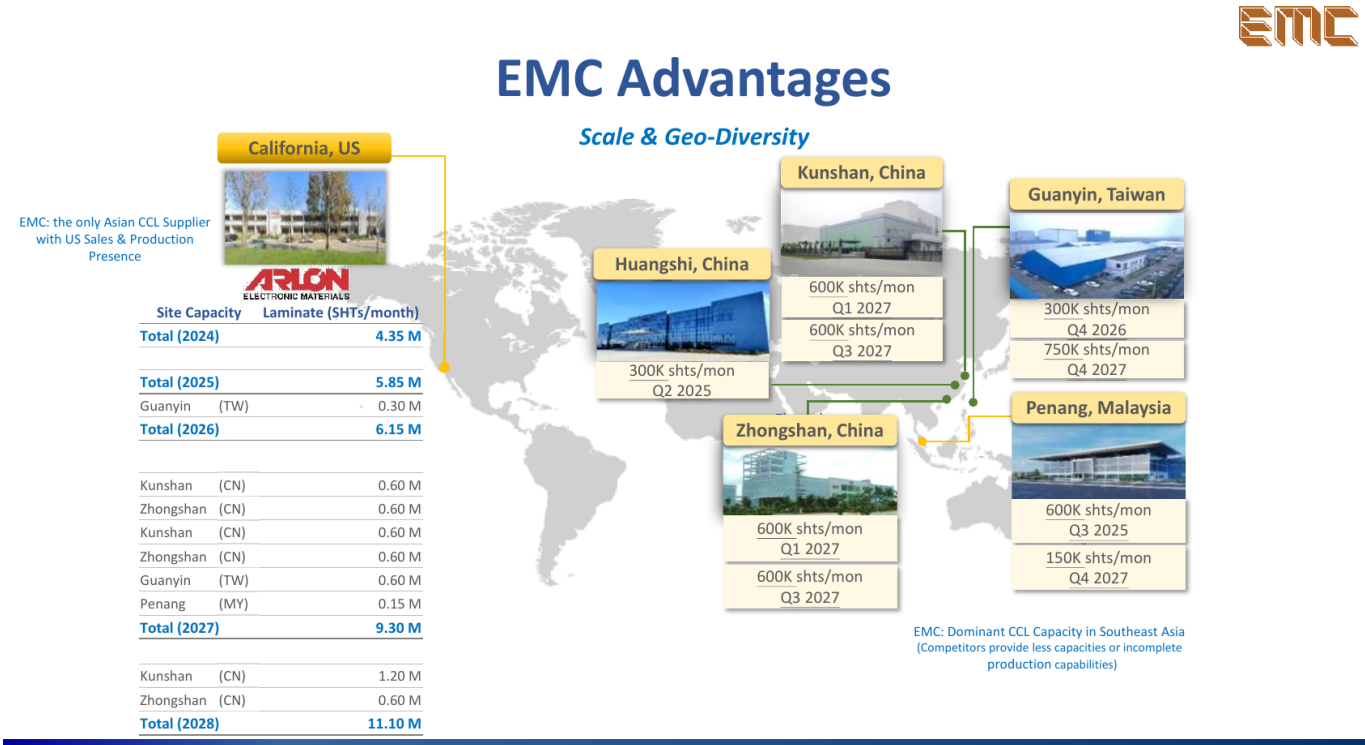
Issuer source retained in the evidence manifest | Official source exhibit. Original units and source footnotes are retained.



Official source exhibit. Original units and source footnotes are retained. Original units and footnotes apply.

Source exhibit 3

Issuer source retained in the evidence manifest | Issuer capacity table and map: the central table shows 9.30M versus 9.45M on the map. Nameplate capacity does not guarantee qualified output.



Site Capacity		Laminate (SHTs/month)
Total (2024)		**4.35 M**
Total (2025)		**5.85 M**
Guanyin	(TW)	0.30 M
Total (2026)		**6.15 M**
Kunshan	(CN)	0.60 M
Zhongshan	(CN)	0.60 M
Kunshan	(CN)	0.60 M
Zhongshan	(CN)	0.60 M
Guanyin	(TW)	0.60 M
Penang	(MY)	0.15 M
Total (2027)		**9.30 M**
Kunshan	(CN)	1.20 M
Zhongshan	(CN)	0.60 M
Total (2028)		**11.10 M**

Issuer capacity table and map: the central table shows 9.30M versus 9.45M on the map. Nameplate capacity does not guarantee qualified output. Original units and footnotes apply.

Source exhibit 4

Issuer source retained in the evidence manifest | Official source exhibit. Original units and source footnotes are retained.

2Q Results -- Statement of Comprehensive Income

Selected Items from Statements of Comprehensive Income
(In NT$ millions)

	2Q26	1Q26	2Q25	QoQ	YoY
Revenue	47,275	33,067	22,508	43.0%	110.0%
Gross Profit	16,003	9,729	6,829	64.5%	134.3%
Operating Profit	12,734	7,128	4,644	78.6%	174.2%
Income Before Tax	12,785	7,194	4,467	77.7%	186.2%
Tax Expenses	2,913	1,855	989	57.0%	194.5%
Net Income	9,872	5,339	3,478	84.9%	183.8%
EPS (NT$) - Basic	27.55	14.90	10.02	84.9%	175.0%
Gross Margin (%)	**33.9%**	**29.4%**	**30.3%**	**4.5%**	**3.6%**
Operating Margin (%)	**26.9%**	**21.6%**	**20.6%**	**5.3%**	**6.3%**
Net Margin (%)	**20.9%**	**16.2%**	**15.5%**	**4.7%**	**5.4%**
Return on Equity	**74.3%**	**43.4%**	**39.9%**		

Page 4

Official source exhibit. Original units and source footnotes are retained. Original units and footnotes apply.

Source exhibit 5

Issuer source retained in the evidence manifest | Official source exhibit. Original units and source footnotes are retained.

2Q Results -- Balance Sheets & Key Indices

Selected Items from Balance Sheets
(In NT$ millions)

	2Q26		1Q26		2Q25	
	Amount	%	Amount	%	Amount	%
Cash & Equivalent	22,568	14.2%	22,135	16.9%	17,620	20.1%
A/R+N/R	65,354	41.2%	46,480	35.5%	30,564	34.9%
Inv	23,664	14.9%	21,016	16.1%	10,936	12.5%
PPE	42,066	26.5%	37,110	28.3%	24,137	27.6%
Total Assets	**158,577**	**100.0%**	**130,977**	**100.0%**	**87,611**	**100.0%**
Short-term Debt	15,776	10.0%	13,572	10.4%	8,957	10.2%
A/P	40,399	25.5%	31,382	24.0%	17,014	19.4%
Long-term Debt	12,089	7.6%	10,979	8.4%	9,114	10.4%
Shareholders' Equity	**58,312**	**36.8%**	**47,921**	**36.6%**	**36,391**	**41.5%**
Total Debt and Equity	**158,577**	**100.0%**	**130,977**	**100.0%**	**87,611**	**100.0%**
Key Indices						
A/R Turnover Days	**108**		**114**		**117**	
Inventory Turnover Days	**65**		**74**		**60**	
Current Ratio (X)	**1.4**		**1.3**		**1.5**	

Official source exhibit. Original units and source footnotes are retained. Original units and footnotes apply.

Source exhibit 6

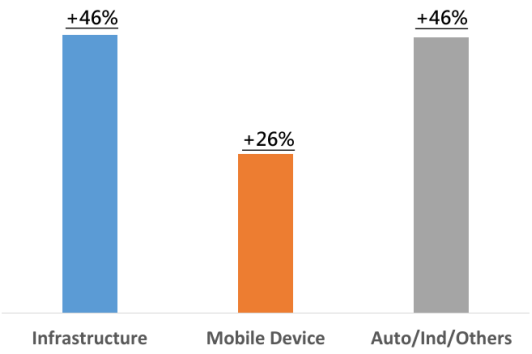
Issuer source retained in the evidence manifest | Official source exhibit. Original units and source footnotes are retained.

2Q Results -- Revenue by Segment

Strong growth in Infra reflects share gains in high-end materials

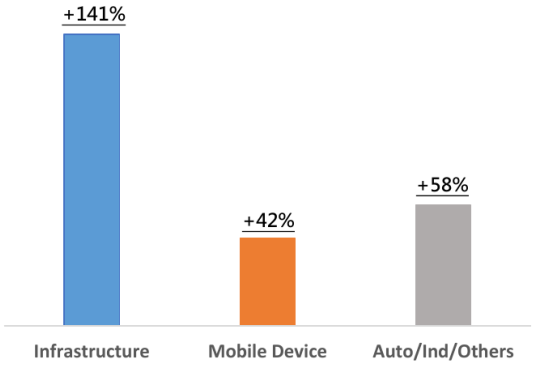
2Q Revenue Growth: 43% QoQ

Growth Rate by Segment (QoQ)



2Q Revenue Growth: 110% YoY

Growth Rate by Segment (YoY)



6

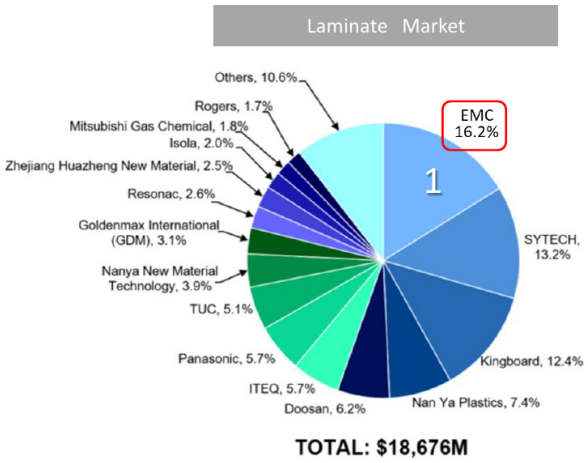
Official source exhibit. Original units and source footnotes are retained. Original units and footnotes apply.

Source exhibit 7

Issuer source retained in the evidence manifest | Official source exhibit. Original units and source footnotes are retained.

Lead over Competition Expanding

EMC reached global No. 1 in 2025 with a 16% market share



TOTAL: $18,676M

- By Revenue
- Mass Lam sales is excluded.

PRISMARK

July 2026

Page 7

Official source exhibit. Original units and source footnotes are retained. Original units and footnotes apply.

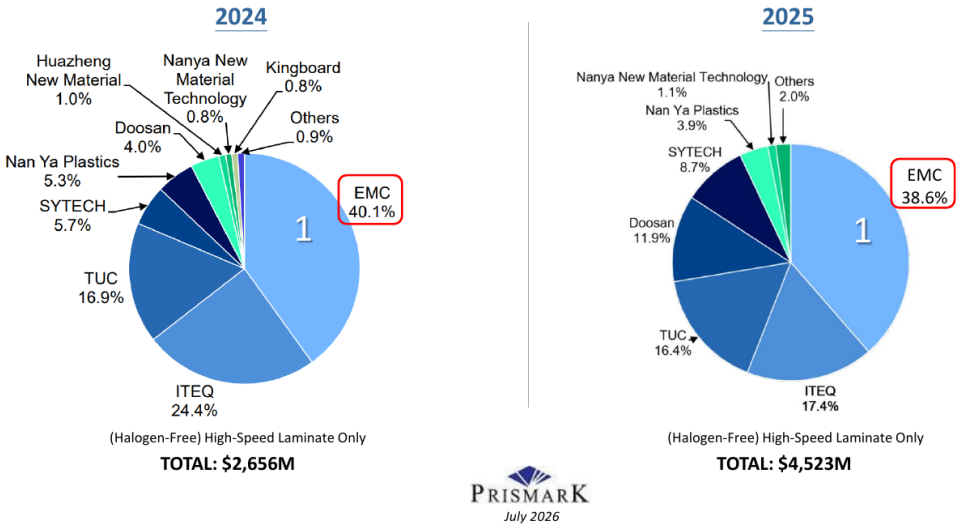
Source exhibit 8

Issuer source retained in the evidence manifest | Official source exhibit. Original units and source footnotes are retained.

HSD Lead over Competition Expanding

EMC reached #1 in 2023 and has maintained its lead through 2025

- **Global No. 1 – High-Speed Green Laminate provider**



PRISMARK

July 2026

Official source exhibit. Original units and source footnotes are retained. Original units and footnotes apply.

Source exhibit 9

Issuer source retained in the evidence manifest | Official source exhibit. Original units and source footnotes are retained.

台光電子材料股份有限公司及子公司

合併資產負債表

民國一一五年六月三十日、一一四年十二月三十一日及六月三十日

單位：新台幣千元

	資　產	115.6.30 金　額	%	114.12.31 金　額	%	114.6.30 金　額	%
	流動資產：						
1100	現金及約當現金(附註六(一))	$ 22,567,762	14	20,007,816	19	17,620,241	20
1150	應收票據淨額(附註六(三))	75,647	-	49,647	-	43,873	-
1170	應收帳款淨額(附註六(三)及七)	65,278,425	41	36,064,997	33	30,520,326	35
1200	其他應收款(附註六(四))	469,148	-	466,639	-	441,954	1
1310	存貨(附註六(五))	23,663,591	15	16,751,588	16	10,936,015	12
1479	其他流動資產－其他	1,234,342	1	638,982	1	404,003	1
	流動資產合計	113,288,915	71	73,979,669	69	59,966,412	69
	非流動資產：						
1510	透過損益按公允價值衡量之金融資產－非流動(附註六(二)及(十))	-	-	-	-	17,268	-
1600	不動產、廠房及設備(附註六(六))	42,065,798	27	30,863,853	29	24,136,771	28
1755	使用權資產(附註六(七))	2,581,483	2	2,391,909	2	1,922,374	2
1780	無形資產	110,294	-	102,838	-	516,697	1
1840	遞延所得稅資產	289,497	-	325,472	-	744,782	-
1900	其他非流動資產(附註八)	241,457	-	248,795	-	306,348	-
	非流動資產合計	45,288,529	29	33,932,867	31	27,644,240	31
	資產總計	$ 158,577,444	100	107,912,536	100	87,610,652	100

	負債及權益	115.6.30 金　額	%	114.12.31 金　額	%	114.6.30 金　額	%
	流動負債：						
2100	短期借款(附註六(八))	$ 13,514,629	9	9,279,346	9	7,124,876	8
2120	透過損益按公允價值衡量之金融負債－流動(附註六(二))	-	-	9,475	-	1,200	-
2170	應付帳款	40,398,601	25	24,517,506	23	17,013,748	19
2200	其他應付款	21,491,404	14	8,767,962	8	12,347,441	14
2230	本期所得稅負債	2,781,842	2	1,020,303	-	984,736	1
2280	租賃負債－流動(附註六(十一))	57,036	-	40,474	-	39,018	-
2322	一年內到期長期借款(附註六(九))	2,261,786	1	1,984,172	2	1,832,170	2
2399	其他流動負債－其他	3,105,483	2	611,502	-	300,136	-
	流動負債合計	83,610,781	53	46,230,740	42	39,643,325	44
	非流動負債：						
2530	應付公司債(附註六(十))	-	-	-	-	3,248,727	4
2540	長期借款(附註六(九))	12,088,995	8	8,219,323	8	5,865,537	7
2570	遞延所得稅負債	3,110,008	2	1,581,450	1	1,391,652	1
2580	租賃負債－非流動(附註六(十一))	570,206	-	587,323	1	566,883	1
2600	其他非流動負債(附註六(十二))	885,377	1	858,495	1	503,356	1
	非流動負債合計	16,654,586	11	11,246,591	11	11,576,155	14
	負債總計	100,265,367	64	57,477,331	53	51,219,480	58
	歸屬母公司業主之權益(附註六(十五))：						
3100	股本	3,583,211	2	3,583,211	3	3,524,741	4
3200	資本公積	11,521,350	7	11,521,350	11	8,349,282	10
	保留盈餘：						
3310	法定盈餘公積	6,430,881	4	4,966,823	5	4,966,823	6
3320	特別盈餘公積	-	-	43,858	-	43,858	-
3350	未分配盈餘	34,568,652	22	29,733,689	28	22,039,882	25
3400	其他權益	2,231,344	1	606,572	-	(2,516,391)	(3)
	歸屬於母公司業主之權益合計	58,335,438	36	50,455,503	47	36,408,195	42
36XX	**非控制權益**	(23,361)	-	(20,298)	-	(17,023)	-
	權益總計	58,312,077	36	50,435,205	47	36,391,172	42
	負債及權益總計	$ 158,577,444	100	107,912,536	100	87,610,652	100

董事長：董定宇　　經理人：董定宇　　會計主管：林孟瑜

(請詳閱後附合併財務報告附註)

Official source exhibit. Original units and source footnotes are retained. Original units and footnotes apply.

Source exhibit 10

Issuer source retained in the evidence manifest | Official source exhibit. Original units and source footnotes are retained.

台光電子材料股份有限公司及子公司

合併綜合損益表

民國一一五年及一一四年四月一日至六月三十日及一一五年及一一四年一月一日至六月三十日

單位：新台幣千元

		115年4月至6月		114年4月至6月		115年1月至6月		114年1月至6月	
		金　額	%	金　額	%	金　額	%	金　額	%
4000	營業收入(附註六(十七)及七)	$ 47,275,194	100	22,507,694	100	80,342,455	100	44,187,758	100
5000	營業成本(附註六(五))	(31,272,203)	(66)	(15,678,479)	(70)	(54,610,311)	(68)	(30,768,217)	(70)
	營業毛利	16,002,991	34	6,829,215	30	25,732,144	32	13,419,541	30
	營業費用：								
6100	推銷費用	(929,489)	(2)	(829,484)	(3)	(1,718,658)	(2)	(1,572,559)	(4)
6200	管理費用(附註七)	(1,427,030)	(3)	(845,122)	(4)	(2,467,268)	(3)	(1,672,764)	(4)
6300	研究發展費用	(906,647)	(2)	(509,274)	(2)	(1,671,024)	(2)	(987,890)	(1)
6450	預期信用損失(附註六(三))	(6,142)	-	(1,750)	-	(13,041)	-	(3,008)	-
	營業費用合計	(3,269,308)	(7)	(2,185,630)	(9)	(5,869,991)	(7)	(4,236,221)	(9)
	營業淨利	12,733,683	27	4,643,585	21	19,862,153	25	9,183,320	21
	營業外收入及支出：								
7100	利息收入(附註六(十九))	63,444	-	66,010	-	133,335	-	108,831	1
7020	其他利益及損失(附註六(十九))	140,432	-	(128,230)	(1)	271,467	-	64,261	-
7050	財務成本(附註六(十)及(十九))	(152,308)	-	(114,354)	(1)	(287,546)	-	(221,914)	(1)
	營業外收入及支出合計	51,568	-	(176,574)	(2)	117,256	-	(48,822)	-
7900	繼續營業部門稅前淨利	12,785,251	27	4,467,011	19	19,979,409	25	9,134,498	21
7950	所得稅費用(附註六(十四))	(2,913,605)	(6)	(989,405)	(4)	(4,768,986)	(6)	(2,189,738)	(5)
8200	本期淨利	9,871,646	21	3,477,606	15	15,210,423	19	6,944,760	16
	其他綜合損益：								
8360	後續可能重分類至損益之項目								
8361	國外營運機構財務報表換算之兌換差額	649,349	1	(3,802,425)	(17)	2,030,670	3	(3,088,703)	(7)
8399	與可能重分類之項目相關之所得稅(附註六(十四))	(129,853)	-	760,925	4	(406,193)	(1)	618,133	1
	後續可能重分類至損益之項目合計	519,496	1	(3,041,500)	(13)	1,624,477	2	(2,470,570)	(6)
	本期其他綜合損益(稅後淨額)	519,496	1	(3,041,500)	(13)	1,624,477	2	(2,470,570)	(6)
8500	本期綜合損益總額	**$ 10,391,142**	**22**	**436,106**	**2**	**16,834,900**	**21**	**4,474,190**	**10**
	本期淨利歸屬於：								
8610	母公司業主	$ 9,873,398	21	3,477,879	15	15,213,191	19	6,946,779	16
8620	非控制權益	(1,752)	-	(273)	-	(2,768)	-	(2,019)	-
		$ 9,871,646	**21**	**3,477,606**	**15**	**15,210,423**	**19**	**6,944,760**	**16**
	綜合損益總額歸屬於：								
8710	母公司業主	$ 10,392,810	22	434,181	2	16,837,963	21	4,474,246	10
8720	非控制權益	(1,668)	-	1,925	-	(3,063)	-	(56)	-
		$ 10,391,142	**22**	**436,106**	**2**	**16,834,900**	**21**	**4,474,190**	**10**
	每股盈餘(元)(附註六(十六))								
9750	基本每股盈餘(單位：新台幣元)	**$ 27.55**		**10.02**		**42.46**		**20.03**	
9850	稀釋每股盈餘(單位：新台幣元)	**$ 27.55**		**9.62**		**42.44**		**19.33**	

(請詳閱後附合併財務報告附註)

董事長：董定宇　　經理人：董定宇　　會計主管：林孟瑜

Official source exhibit. Original units and source footnotes are retained. Original units and footnotes apply.

Source exhibit 11

Issuer source retained in the evidence manifest | Official source exhibit. Original units and source footnotes are retained.

台光電子材料股份有限公司及子公司

合併權益變動表

民國一一五年及一一四年一月一日至六月三十日

單位：新台幣千元

	歸屬於母公司業主之權益									
	股本		保留盈餘			其他權益項目				
	普通股股本	資本公積	法定盈餘公積	特別盈餘公積	未分配盈餘	國外營運機構財務報表換算之兌換差額	透過其他綜合損益按公允價值衡量之權益工具投資損失	歸屬於母公司業主權益總計	非控制權益	權益總額
民國一一四年一月一日餘額	$ 3,466,329	5,690,867	4,010,652	859,153	21,127,674	(28,085)	(15,773)	35,110,817	(16,967)	35,093,850
本期淨利	-	-	-	-	6,946,779	-	-	6,946,779	(2,019)	6,944,760
本期其他綜合損益	-	-	-	-	-	(2,472,533)	-	(2,472,533)	1,963	(2,470,570)
本期綜合損益總額	-	-	-	-	6,946,779	(2,472,533)	-	4,474,246	(56)	4,474,190
盈餘指撥及分配：										
提列法定盈餘公積	-	-	956,171	-	(956,171)	-	-	-	-	-
普通股現金股利	-	-	-	-	(5,893,695)	-	-	(5,893,695)	-	(5,893,695)
特別盈餘公積迴轉	-	-	-	(815,295)	815,295	-	-	-	-	-
可轉換公司債轉換	58,412	2,658,415	-	-	-	-	-	2,716,827	-	2,716,827
民國一一四年六月三十日餘額	**$ 3,524,741**	**8,349,282**	**4,966,823**	**43,858**	**22,039,882**	**(2,500,618)**	**(15,773)**	**36,408,195**	**(17,023)**	**36,391,172**
民國一一五年一月一日餘額	$ 3,583,211	11,521,350	4,966,823	43,858	29,733,689	622,345	(15,773)	50,455,503	(20,298)	50,435,205
本期淨利	-	-	-	-	15,213,191	-	-	15,213,191	(2,768)	15,210,423
本期其他綜合損益	-	-	-	-	-	1,624,772	-	1,624,772	(295)	1,624,477
本期綜合損益總額	-	-	-	-	15,213,191	1,624,772	-	16,837,963	(3,063)	16,834,900
盈餘指撥及分配：										
提列法定盈餘公積	-	-	1,464,058	-	(1,464,058)	-	-	-	-	-
普通股現金股利	-	-	-	-	(8,958,028)	-	-	(8,958,028)	-	(8,958,028)
特別盈餘公積迴轉	-	-	-	(43,858)	43,858	-	-	-	-	-
民國一一五年六月三十日餘額	**$ 3,583,211**	**11,521,350**	**6,430,881**	**-**	**34,568,652**	**2,247,117**	**(15,773)**	**58,335,438**	**(23,361)**	**58,312,077**

(請詳閱後附合併財務報告附註)

董事長：董定宇　　經理人：董定宇　　會計主管：林孟瑜

Official source exhibit. Original units and source footnotes are retained. Original units and footnotes apply.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

[1] Q2_2026_EN.pdf

https://www.emctw.com/upload/media/New_Investors/Financial_Information/Quarterly_Results/Consolidated/EN/2026/273512_115Q2_%E5%90%88%E4%BD%B5_%E5%AE%8C%E7%A8%BF%E8%B2%A1%E5%A0%B1_word_IMSv1_EN.pdf

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[2] Q1_2026_EN.pdf

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[3] FY2025_EN.pdf

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[4] Annual_2025_EN.pdf

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[5] Monthly_2026_09.jpg

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[6] Presentation_2026_07.pdf

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[7] Presentation_2026_04.pdf

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[8] Q2_2026_CH.pdf

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Model formulas: reference GP sums product revenue x GM; reference OP deducts specified costs. Each conditional revenue/GP/cost delta is multiplied by its probability once. The ceiling uses the sum of four consecutive quarterly valuation operating profits x the stated multiple / diluted shares at the starting quarter. Net cash, debt and minority claims follow the company-specific method explanation.